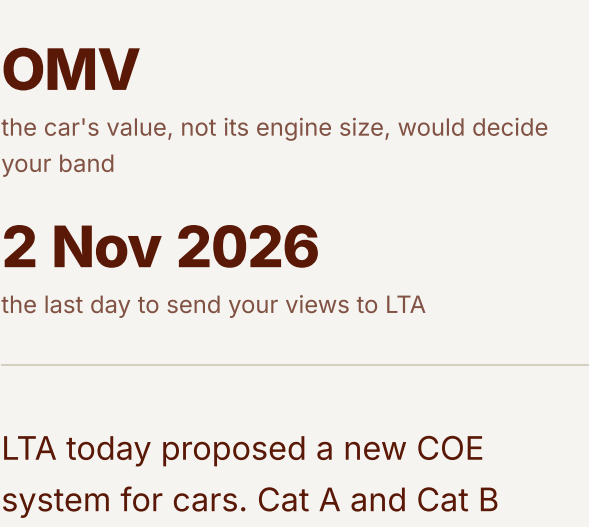
LTA NEWS · 5 min read

New COE proposal: one COE for all cars, with rebates and surcharges

Reviewed by The Right Workshop team · Updated 8 Oct 2026

COE · Regulation


LTA NEWS
New COE Plan: One for All Cars
REGULATION
THE RIGHT WORKSHOP

Copy · WhatsApp · Facebook

ON THIS PAGE

01 What LTA proposed today
02 How LTA would decide your car's band
03 How much the rebate and surcharge would be
04 Why LTA wants to change the COE
05 What is not decided yet
06 Suggest changes to LTA
07 What the new COE proposal means for you

$15,000
the biggest rebate or surcharge LTA has proposed

OMV
the car's value, not its engine size, would decide your band

2 Nov 2026
the last day to send your views to LTA

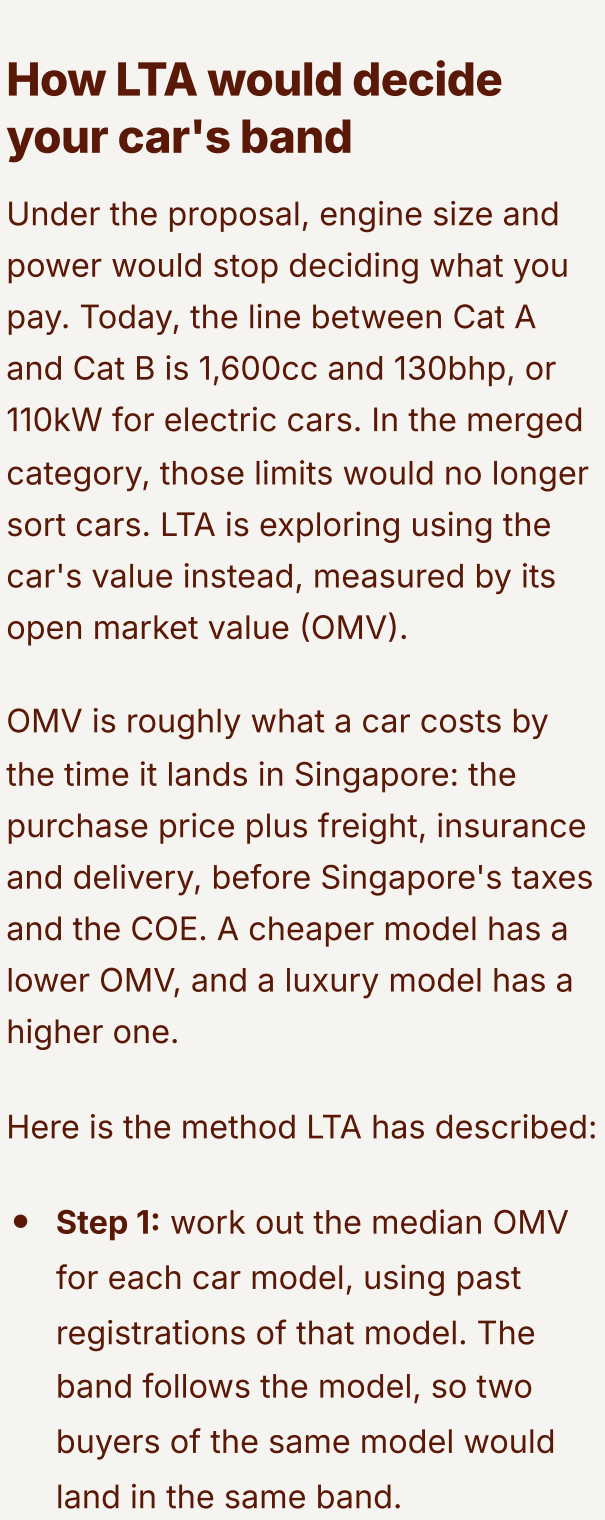
LTA today proposed a new COE system for cars. Cat A and Cat B would merge into one category, and buyers would then get money off or pay extra depending on how expensive their car model is. It is only a proposal for now. LTA is asking the public for feedback and suggestions until 2 November 2026.

> EXPLAIN IT LIKE I'M 12
>
> To own a car in Singapore, you first need a permit called a COE. Right now, small cars and big cars queue for that permit in two separate lines. LTA wants just one line, where everyone pays the same price for the permit. After that, if your car is a cheaper model, you get some money back. If it is an expensive model, you pay a bit more. It is only an idea for now, and nothing changes until LTA decides, which should be in the first half of 2027.

What LTA proposed today

Small cars and big cars would bid together and pay the same COE price. After that, the price is adjusted by the value of the car.

YOUR CAR	WHAT HAPPENS TO YOUR COE PRICE
Cheaper model	Rebate of up to $15,000
Mid-range model	No change
Pricier model	Surcharge of up to $15,000


THE PROPOSAL IN ONE PICTURE
Two COE queues become one.
Today a small car and a big car bid in separate queues. Under LTA's proposal, every car joins one queue and pays one COE price. Then the price is nudged up or down based on how expensive the car model is.
TODAY
Cat A queue
Cars up to 1,600cc and 130bhp, EVs up to 110kW
Cat B queue
Cars above 1,600cc or 130bhp, EVs above 110kW
Cat A COE on 7 Oct $130,001
Cat B COE on 7 Oct $130,100
Difference $99
PROPOSED
One car queue
Every car bids together and pays the same COE premium
↓ then adjusted by the car's value
Rebate cheaper models
No change mid-range
Surcharge pricier models
Up to $15,000 off or $15,000 more
THE RIGHT WORKSHOP

SOURCE: LTA PUBLIC CONSULTATION, 8 OCT 2026

How LTA would decide your car's band

Under the proposal, engine size and power would stop deciding what you pay. Today, the line between Cat A and Cat B is 1,600cc and 130bhp, or 110kW for electric cars. In the merged category, those limits would no longer sort cars. LTA is exploring using the car's value instead, measured by its open market value (OMV).

OMV is roughly what a car costs by the time it lands in Singapore: the purchase price plus freight, insurance and delivery, before Singapore's taxes and the COE. A cheaper model has a lower OMV, and a luxury model has a higher one.

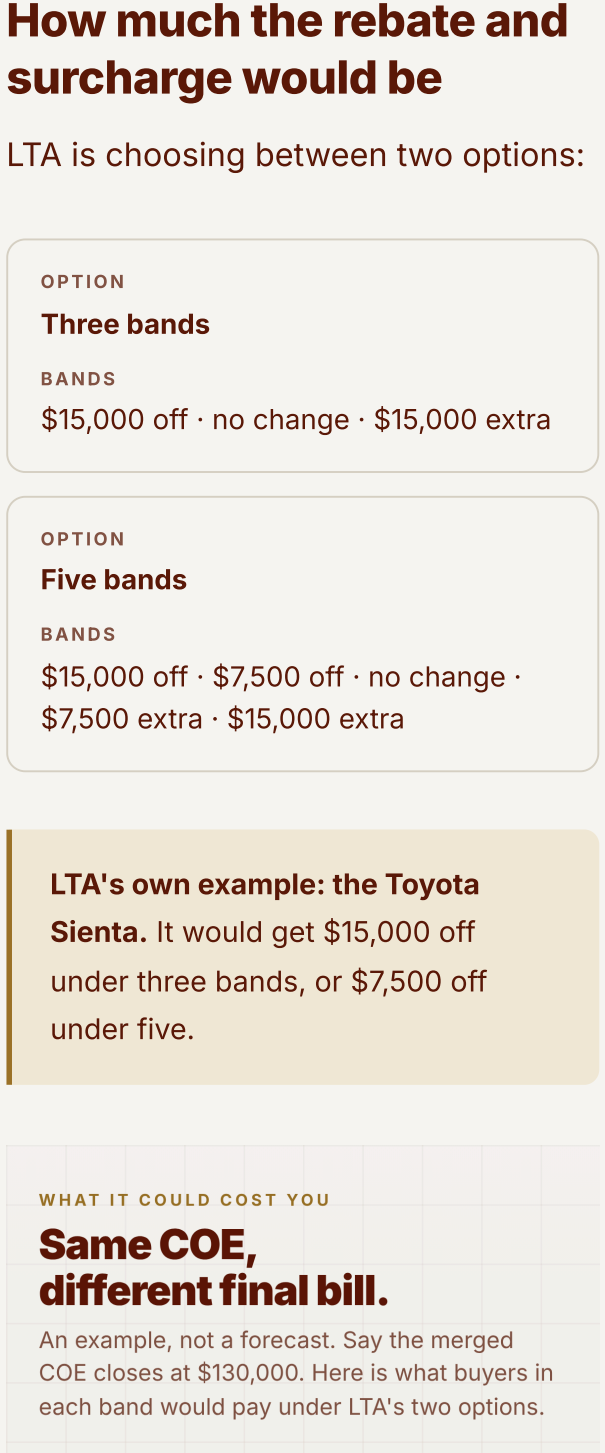
Here is the method LTA has described:

- **Step 1:** work out the median OMV for each car model, using past registrations of that model. The band follows the model, so two buyers of the same model would land in the same band.
- **Step 2:** rank every model from the cheapest to the most expensive.
- **Step 3:** split that ranking into three or five bands by percentile. The bands would be reviewed and published every year.

LTA has not published fixed dollar amounts or engine sizes for each band. It has shared an illustration, reported by Mothership, of where some models might land:

WHERE THE MODEL RANKS	WHAT IT COULD MEAN	EXAMPLES IN LTA'S ILLUSTRATION
Cheapest 35% of models	Rebate	Toyota Sienta, Honda Freed, Volvo EX30
Above the middle (50th percentile)	May pay a surcharge	Tesla Model 3, BYD Sealion 7 Performance, Mercedes-Benz A180

> **This is not live yet.** The OMV method, the percentile cut-offs and the example placements are what LTA is exploring in its consultation. LTA describes the examples as indicative, and the final bands could look different.


STILL A PROPOSAL
Your car's price decides the band. Not its engine size.
LTA is exploring this method. It is not in use yet, and the final cut-offs are not set.
STEP 1
Find each model's typical price
LTA takes the median OMV of every car model, worked out from past registrations of that model.
STEP 2
Rank all models
Every model is lined up from the cheapest to the most expensive.
STEP 3
Split into bands
The line is cut into 3 or 5 bands by percentile. Bands are reviewed and published every year.
No longer used to sort cars:
~~1,600cc~~ ~~130bhp~~ ~~110kW for EVs~~
Rebate
Middle bands
May pay a surcharge
← CHEAPEST MODELS
PRICIEST MODELS →
Cheapest 35% of models
e.g. Toyota Sienta, Honda Freed, Volvo EX30
Above the middle (50%)
e.g. Tesla Model 3, BYD Sealion 7 Performance, Mercedes-Benz A180
THE RIGHT WORKSHOP

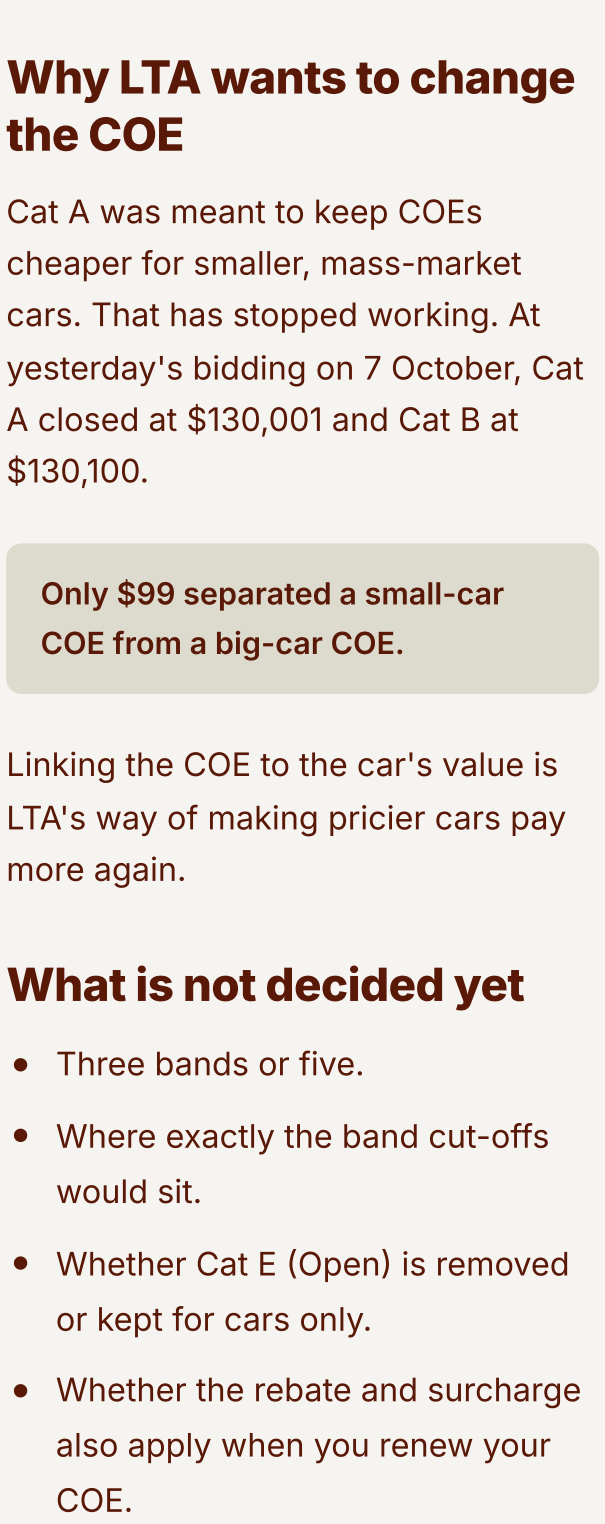
LTA ILLUSTRATION AS REPORTED BY MOTHERSHIP · INDICATIVE ONLY

How much the rebate and surcharge would be

LTA is choosing between two options:

OPTION	BANDS
Three bands	$15,000 off · no change · $15,000 extra
Five bands	$15,000 off · $7,500 off · no change · $7,500 extra · $15,000 extra

> **LTA's own example: the Toyota Sienta.** It would get $15,000 off under three bands, or $7,500 off under five.



AMOUNTS AS PROPOSED BY LTA · MAY CHANGE · $130,000 IS AN ASSUMPTION

Why LTA wants to change the COE

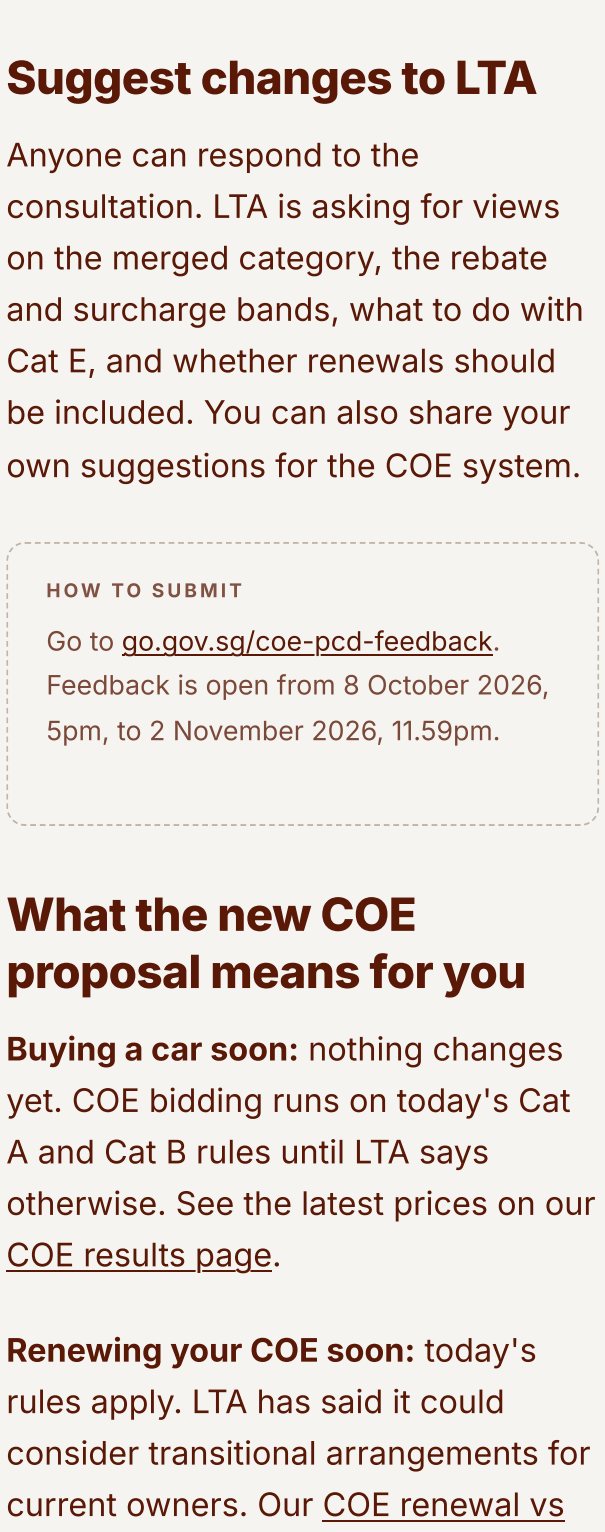
Cat A was meant to keep COEs cheaper for smaller, mass-market cars. That has stopped working. At yesterday's bidding on 7 October, Cat A closed at $130,001 and Cat B at $130,100.

> Only $99 separated a small-car COE from a big-car COE.

Linking the COE to the car's value is LTA's way of making pricier cars pay more again.

What is not decided yet

- Three bands or five.
- Where exactly the band cut-offs would sit.
- Whether Cat E (Open) is removed or kept for cars only.
- Whether the rebate and surcharge also apply when you renew your COE.
- When any of this starts. LTA will share its decision in the first half of 2027.


WHAT HAPPENS NEXT
Nothing changes yet. Here is the road ahead.
8 OCT 2026
Consultation opens
LTA publishes the proposal and asks for views.
2 NOV 2026
Feedback closes
Last day to send your views to LTA, by 11.59pm.
FIRST HALF 2027
LTA shares its decision
Findings and recommendations published.
NOT SET
Start date
No date announced. Bidding runs on today's rules until then.
BUYING SOON
Today's rules apply
Every bidding round runs on Cat A and Cat B as usual until LTA says otherwise.
COE RENEWAL COMING UP
Watch the renewal question
LTA is asking whether the rebate and surcharge should apply to renewals too, and may offer transitional arrangements.
STILL UNDECIDED
Three open questions
Three bands or five. Remove Cat E or keep it for cars only. Whether renewals are included.
THE RIGHT WORKSHOP

THERIGHTWORKSHOP.COM

Suggest changes to LTA

Anyone can respond to the consultation. LTA is asking for views on the merged category, the rebate and surcharge bands, what to do with Cat E, and whether renewals should be included. You can also share your own suggestions for the COE system.

> HOW TO SUBMIT
>
> Go to go.gov.sg/coe-pcd-feedback. Feedback is open from 8 October 2026, 5pm, to 2 November 2026, 11.59pm.

What the new COE proposal means for you

Buying a car soon: nothing changes yet. COE bidding runs on today's Cat A and Cat B rules until LTA says otherwise. See the latest prices on our COE results page.

Renewing your COE soon: today's rules apply. LTA has said it could consider transitional arrangements for current owners. Our COE renewal vs scrap guide helps you decide.

If the car's value starts to decide your COE bill, it pays to know exactly what you are buying. Our pre-purchase inspection checks any new or used car before you commit.

We'll track every update on our news feed, and you can also check the OneMotoring portal for official notices.

Source: This piece summarises LTA's public consultation on the COE system, released 8 October 2026. Send your views at go.gov.sg/coe-pcd-feedback.

SERVICES AT THE RIGHT WORKSHOP

Full workshop. Every job, done right.

Car Servicing
Scheduled maintenance, oil changes, fluid top-ups and full inspections.

View service

Aircon
Regas, leak repair, compressor work and evaporator cleaning.

View service

Tyres & Battery
Tread depth check, alignment, balancing, battery load test and replacement.

View service

Brake Repair
Pads, rotors, shocks and bushings. Quiet, confident stops.

View service

Engine & Gearbox
Diagnostics, repair and full overhauls for petrol and hybrid drivetrains.

View service

Pre-Purchase Inspection
Independent check before you buy a used car. Photos, findings, real talk.

View service

Accident Claims
Reporting, repairs and insurance handling so you are not chasing forms.

View service

COE Renewal / Export / Scrap
End-of-COE options handled end-to-end, with the numbers laid out plainly.

View service

Click here to view all services →

KEEP READING

More guides from the workshop floor

GUIDE

Man jailed over 5 years for evading duty, GST and ARF on imported cars
Singapore man jailed over 5 years for evading duty, GST and ARF on 866 imported cars. The Right...

The Right Workshop

NEWS

ERP 2.0 in Singapore: 2026 vs 2027
93% of Singapore cars have the new OBU. The other 7% have months, not years. What's already different...

The Right Workshop

NEWS

Singapore PARF Rebate Schedule and Cap Revised from Feb 2026
LTA has revised the PARF rebate schedule and cap effective from February 2026, changing what owners get back...

The Right Workshop

Click here to read more posts →

The Right Workshop logo - car workshop Kaki Bukit Singapore

Right by your ride. · We speak fluent repairs.

Yes, that's right.
Right place,
Right people,
The Right Workshop.

SERVICES

- Car Servicing
- Aircon Repair
- Tyres & Battery
- Suspension Repair
- Oil Leak Repair
- Brake Repair
- Engine & Gearbox
- Electrical & Wiring
- Accident Claims & Repair
- Paint & Body Works
- Pre-Purchase Inspection
- Car Insurance
- Towing
- Scrap, Export & COE Renewal

COE & RENEWAL

- COE Prices (Latest)
- Renew Your COE
- COE Renewal Loan
- Renew vs Scrap
- Scrap Your Car

COMPANY

- About Us
- Blog & Car Tips
- Brands We Service
- Contact
- Terms & Conditions
- Privacy Policy

FIND US

ADDRESS
1 Kaki Bukit Ave 6
#02-61 Autobay @ Kaki Bukit
Singapore 417883

PHONE / WHATSAPP
+65 8952 1688

HOURS
Mon-Fri 9am-6pm
Sat 9am-12:30pm
Sun Closed

© 2026 The Right Workshop Pte Ltd. All rights reserved.

Privacy Policy · Terms & Conditions